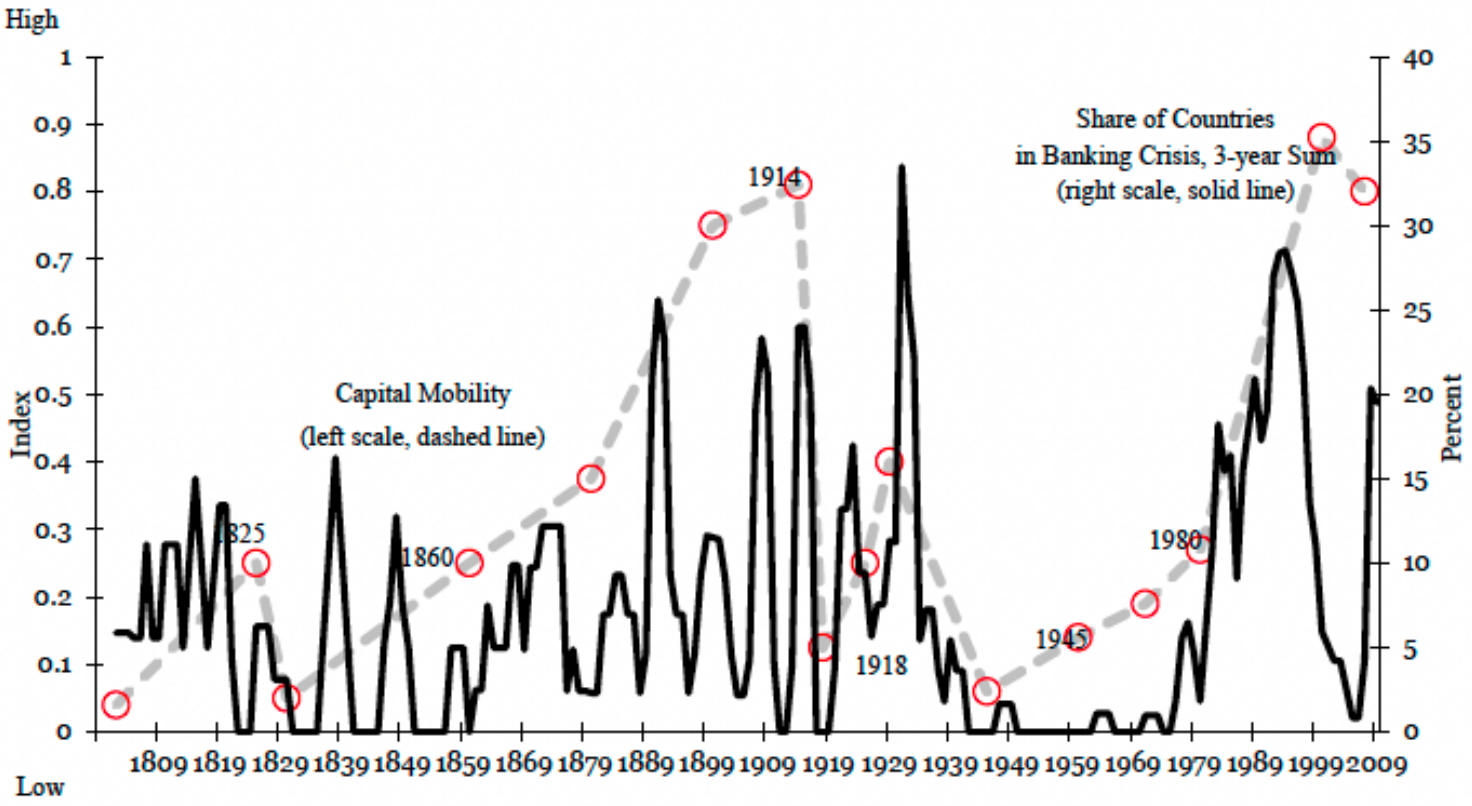
Lecture: Economic crises

Why is this topic important?

Why is this topic important?

FIGURE 13: CAPITAL MOBILITY AND BANKING CRISES: A TWO CENTURY VIEW



Note: The solid line shows the share of countries with a banking crisis. The dotted line shows an index of capital mobility based on Obstfeld and Taylor (2004), extended by Reinhart and Rogoff (2009). Sources: Kaminsky and Reinhart (1999), Bordo et al. (2001), Caprio et al. (2005), Obstfeld and Taylor (2004), Reinhart and Rogoff (2009) and the authors.

Lecture plan:

- Crises caused by bad national decisions

- Crises caused by external factors

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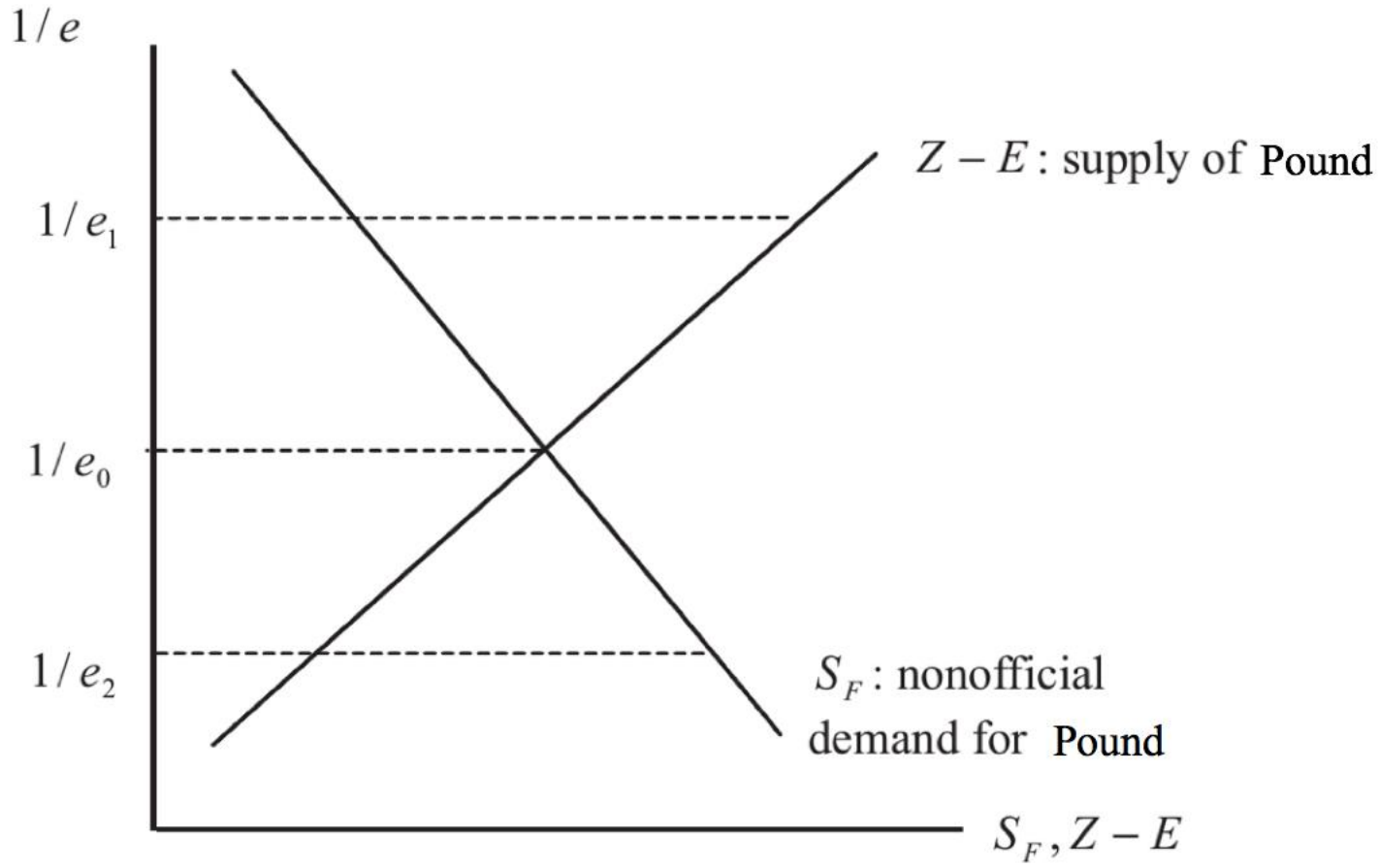
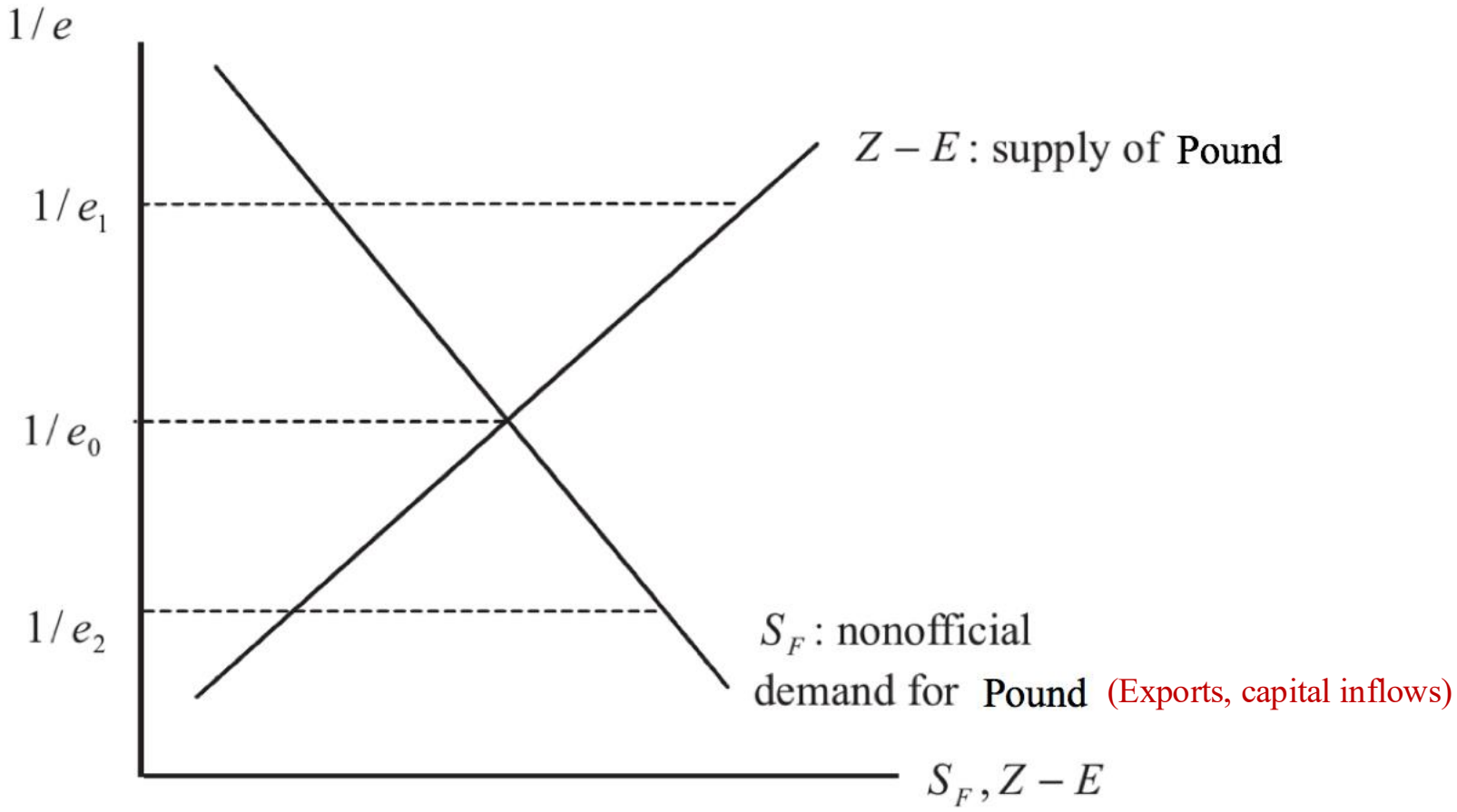
- Crises caused by bad national decisions

  Overvalued exchange rate
  Hyperinflation

- Crises caused by external factors

  Contagion (unfounded panic)


$1/e$
$1/e_1$
$1/e_0$
$1/e_2$
$Z-E$: supply of Pound
S_F : nonofficial demand for Pound
$S_F, Z-E$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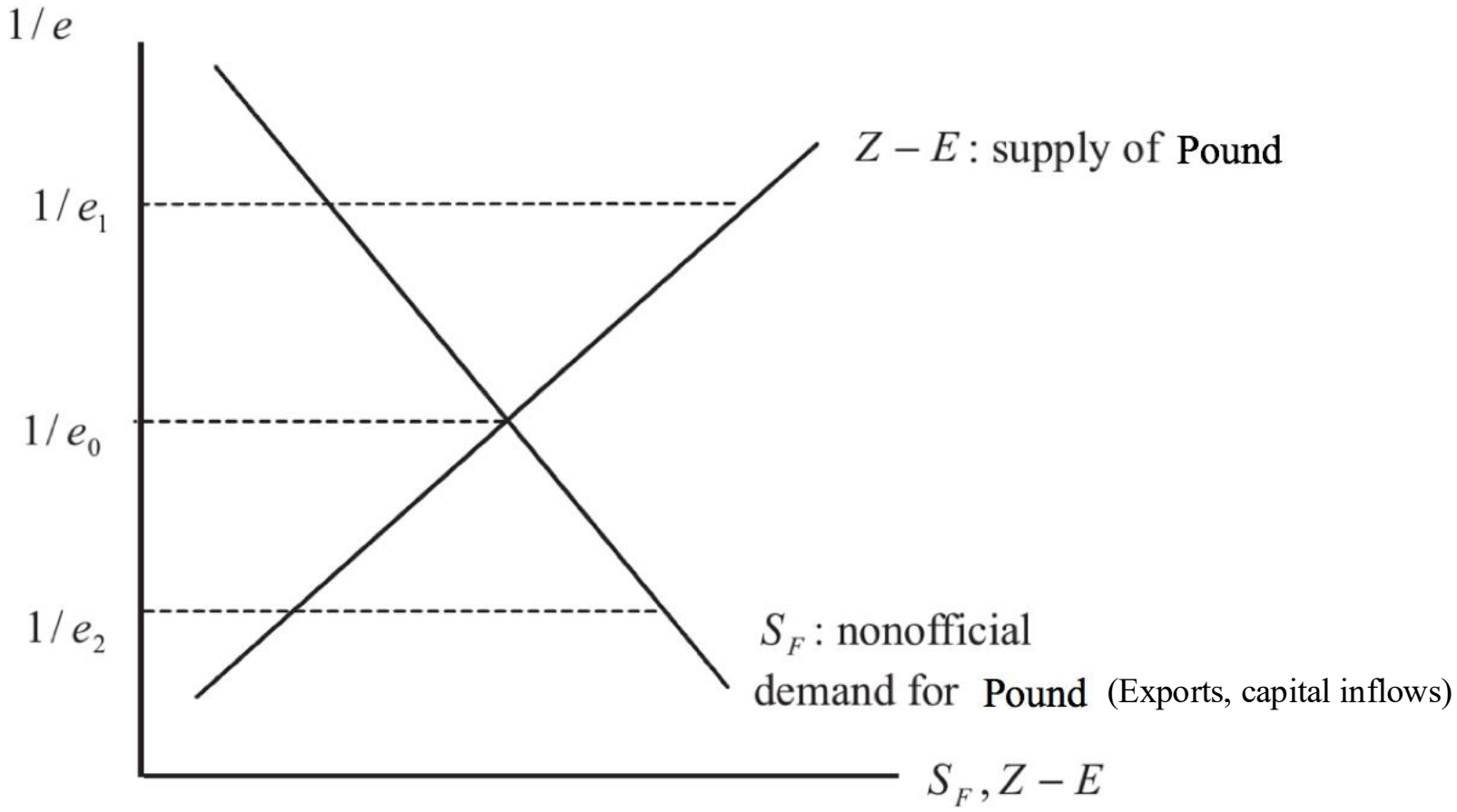
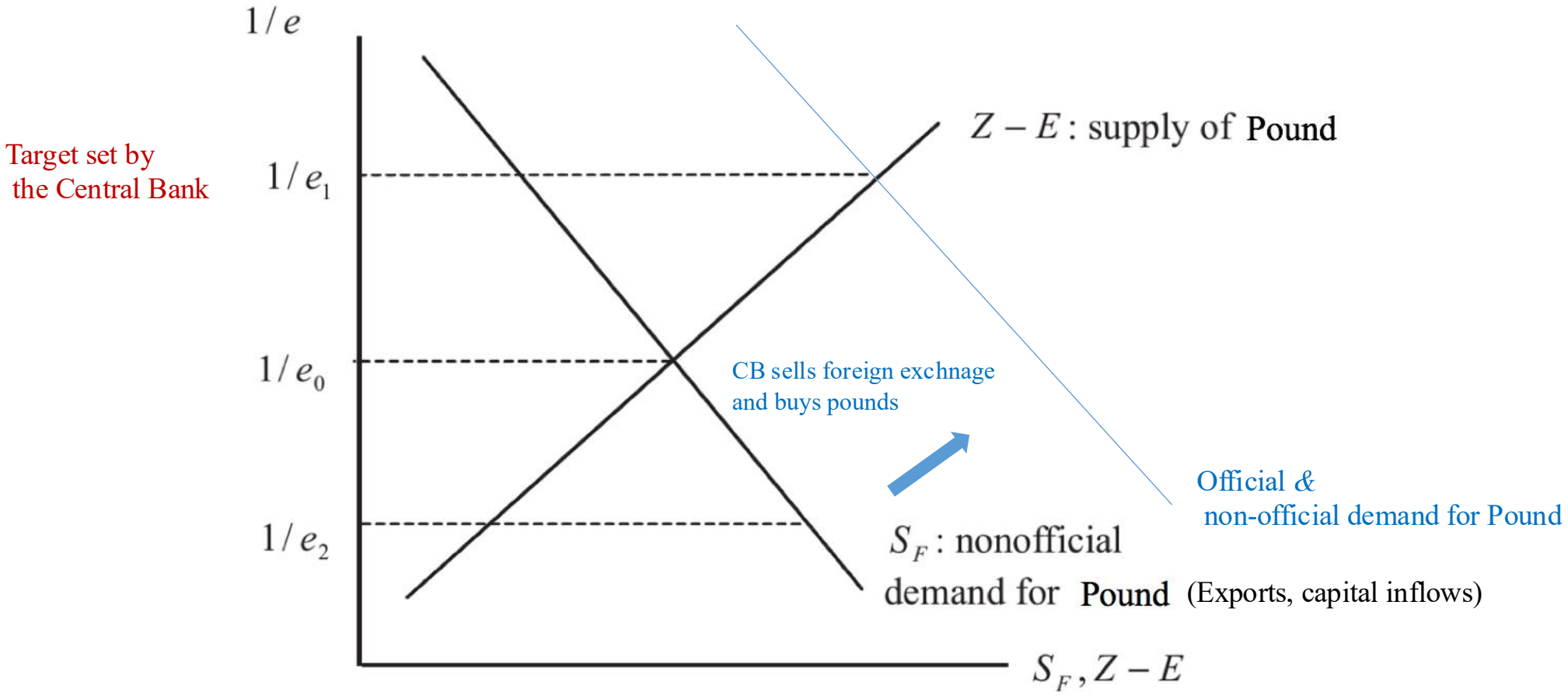
demand for Pound (Exports, capital inflows)
$S_F, Z-E$

Target set by
the Central Bank




Target set by
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$1/e$
$1/e_1$
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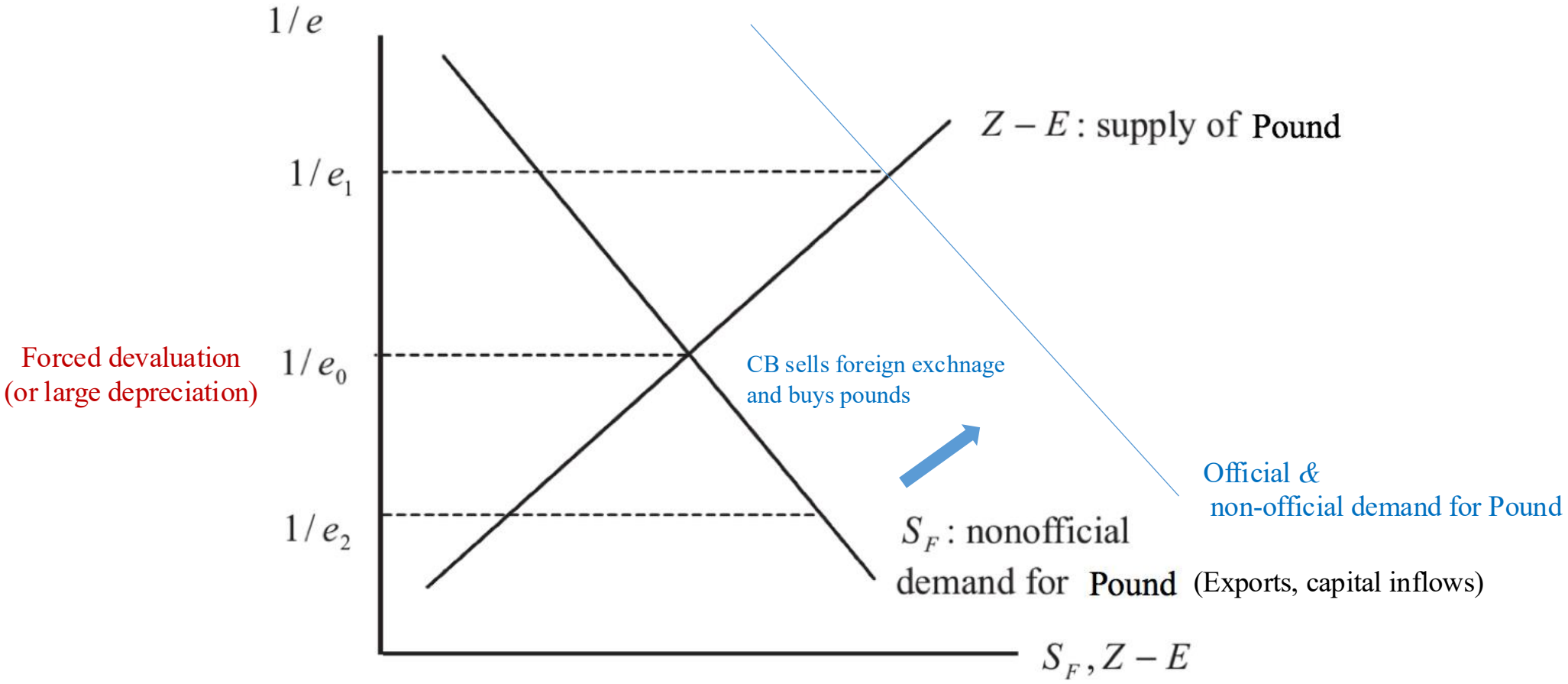
$1/e_2$
$Z-E$: supply of Pound
CB sells foreign exchnage
and buys pounds
Official &
non-official demand for Pound
S_F : nonofficial
demand for Pound (Exports, capital inflows)
$S_F, Z-E$

1. Overvalued exchange rate:

Overvalued exchange rate → Growing current account deficit → Falling official reserves

(& growing reliance on capital inflows)


1/e
1/e1
1/e0
1/e2
Forced devaluation
(or large depreciation)
Z − E : supply of Pound
CB sells foreign exchnage
and buys pounds
Official &
non-official demand for Pound
SF : nonofficial
demand for Pound (Exports, capital inflows)
SF , Z − E

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Examples: Sterling crisis (1992), Nigeria (2015)

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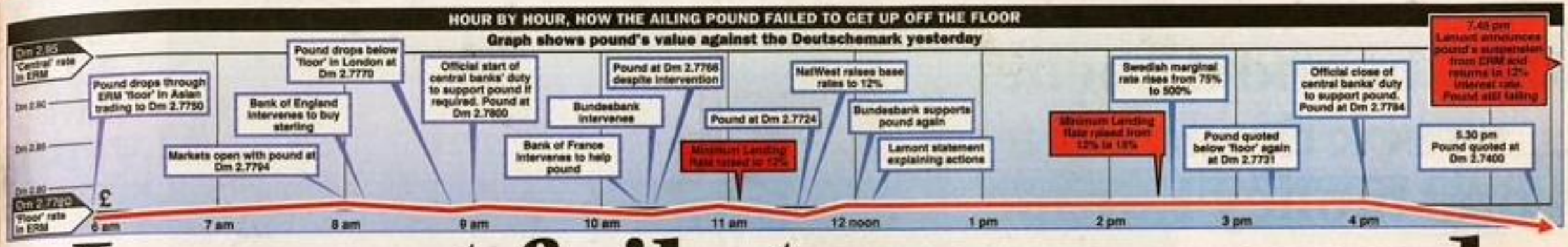
Examples: Sterling crisis (1992), Nigeria (2015)

Preemption?

The Daily Telegraph

FINAL NO. 42,685 45p

THURSDAY, SEPTEMBER 17, 1992



Lamont fails to save pound

'Wait there — we're coming up to join you'

Volte-face ends day of chaos

Major stands by the Chancellor as devalued sterling leaves ERM

By Boris Johnson in Brussels, George Jones, Philip Johnston and Jon Hibbs

A SOMBRE Mr Lamont, the Chancellor, last night effectively conceded that the pound would be devalued after a day of unprecedented and costly turmoil on the foreign exchanges. The sterling crisis intensified dramatically when the Government abandoned its battle to defend the pound and announced it was suspending Britain's membership of the Exchange Rate Mechanism.

But Mr Lamont reversed

INSIDE

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Editorial Comment: Lamont must go — P18
Lord Ridley's letter — P18
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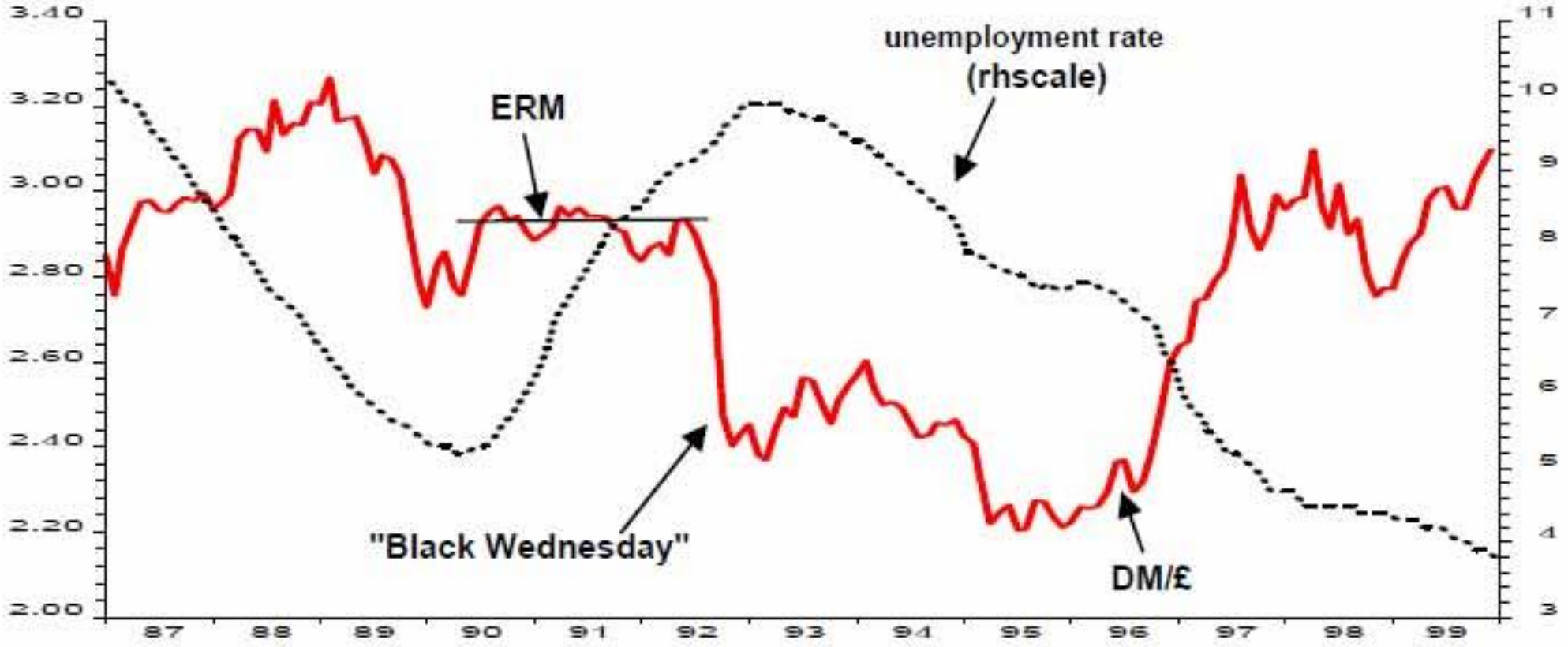
devaluation of sterling and so almost certainly precipi-

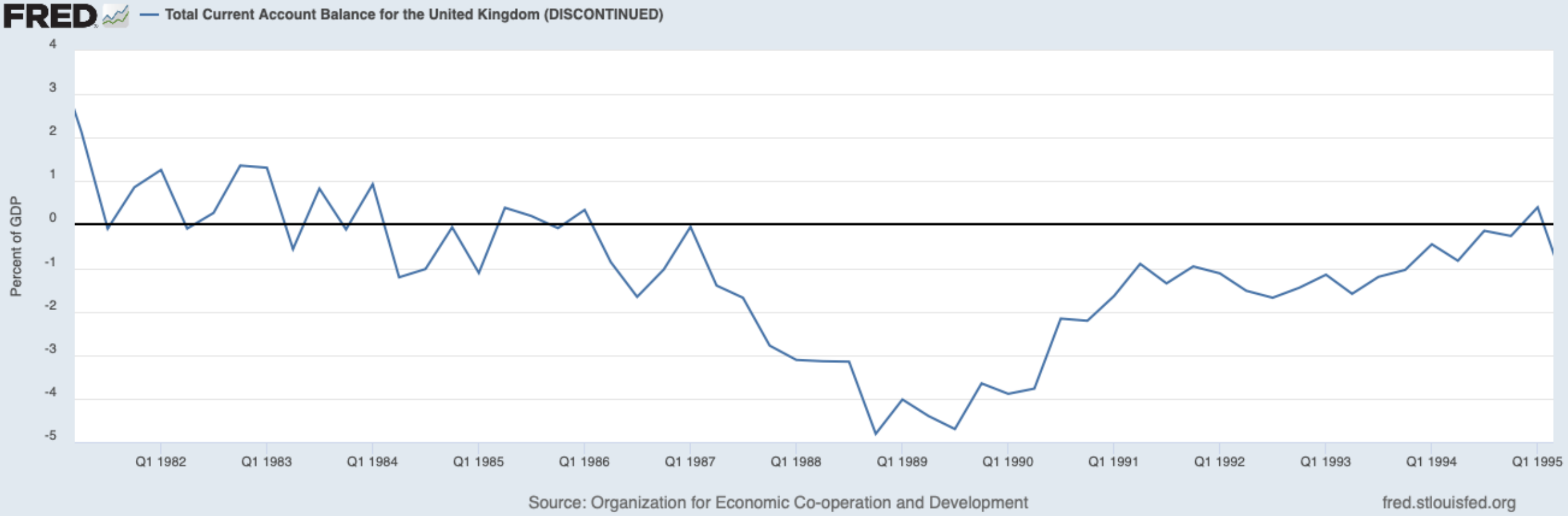
slide in sterling's value. As the pound sank further in overnight trading, the Government called for the whole ERM to be suspended until after Sunday's French referendum on the Maastricht treaty.

As Mr Lamont made a brief statement in the courtyard of the Treasury building in Whitehall, the pound was three pfennigs below its floor within the European Exchange Rate Mechanism.

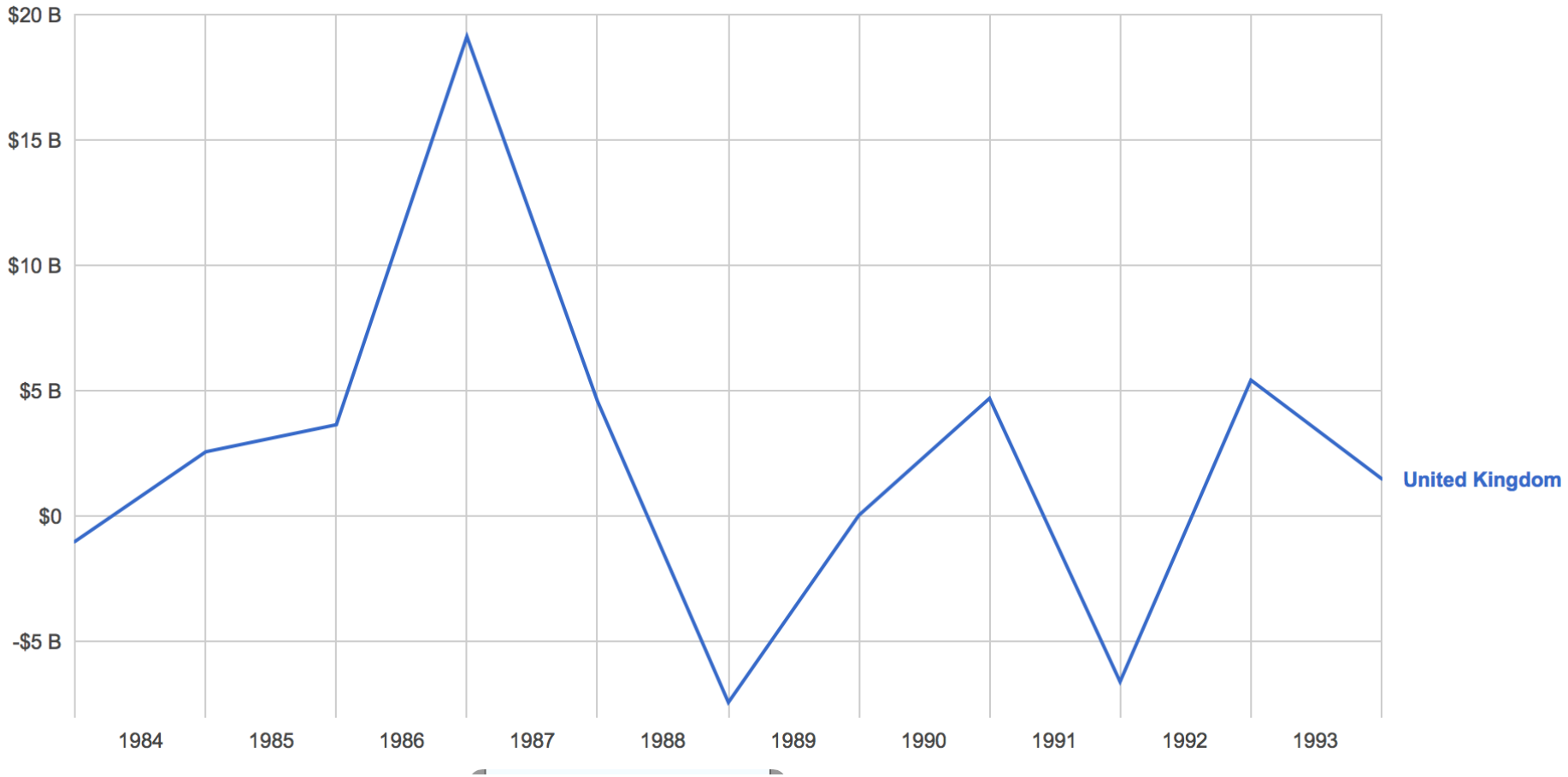
UK unemployment fell sharply following sterling's Sept. 1992 ejection from the ERM



Source: Datastream


FRED
Total Current Account Balance for the United Kingdom (DISCONTINUED)
Percent of GDP
4
3
2
1
0
-1
-2
-3
-4
-5
Q1 1982
Q1 1983
Q1 1984
Q1 1985
Q1 1986
Q1 1987
Q1 1988
Q1 1989
Q1 1990
Q1 1991
Q1 1992
Q1 1993
Q1 1994
Q1 1995
Source: Organization for Economic Co-operation and Development
fred.stlouisfed.org

Changes in net reserves (Current US$)



Source: Public Google Data (2017)

Black Wednesday (BBC 1997)

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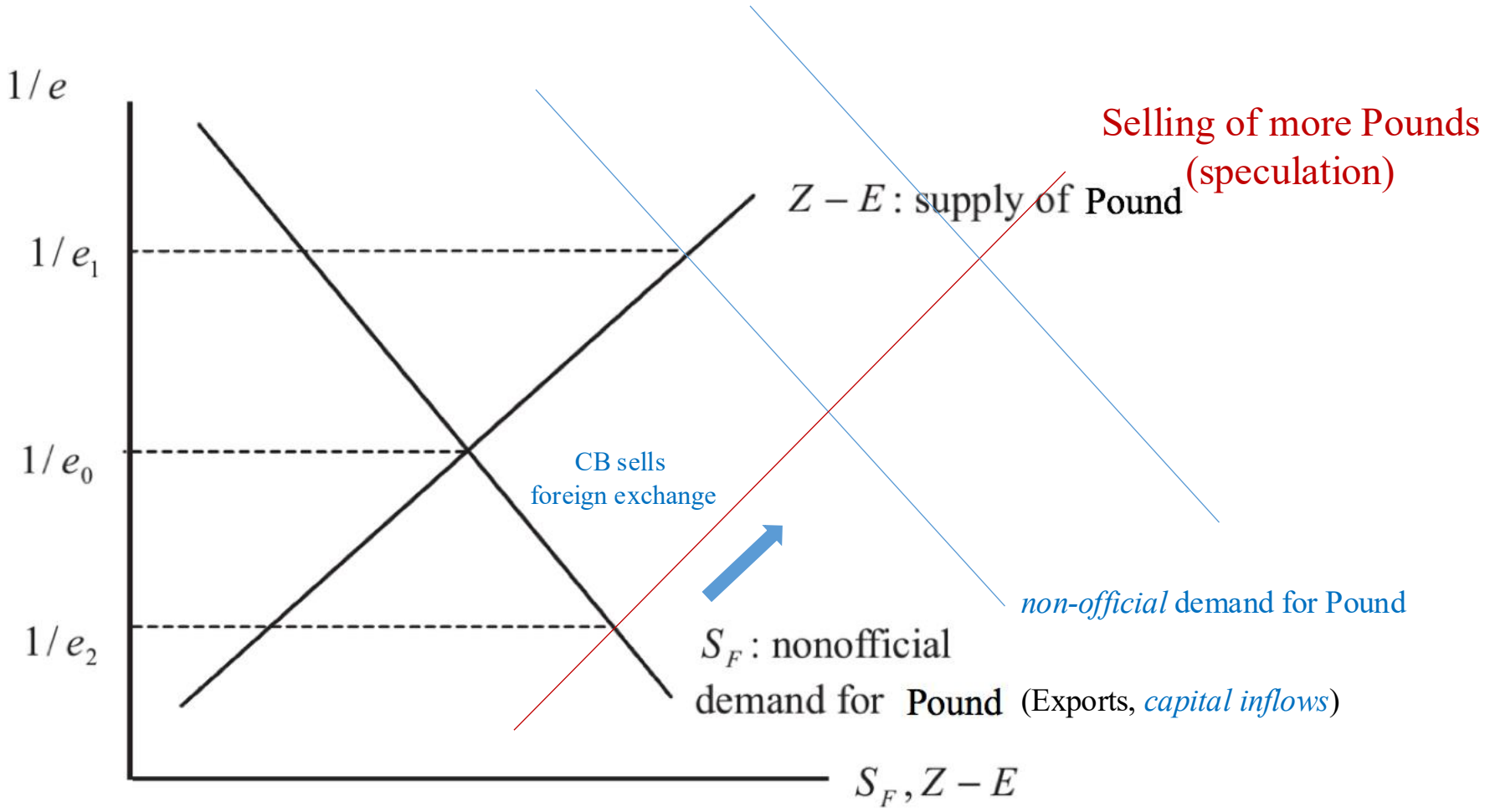

1/e
1/e1
1/e0
1/e2
Selling of more Pounds
(speculation)
Z − E : supply of Pound
CB sells
foreign exchange
non-official demand for Pound
SF : nonofficial
demand for Pound (Exports, capital inflows)
SF , Z − E

Scott Bessent

23 languages

Article Talk Read Edit View history Tools

From Wikipedia, the free encyclopedia

Scott Kenneth Homer Bessent (/ˈbɛsənt/ *BESS-ənt*; born August 21, 1962) is an American government official, investor, and hedge fund manager serving since 2025 as the 79th United States secretary of the treasury. Before his government service, he was a partner at Soros Fund Management and the founder of Key Square Group, a global macro investment firm.

After graduating from Yale University in 1984, Bessent began a career in finance. He was hired by Soros Fund Management, eventually becoming the head of its London office. In this role, he was a leading member of the group that successfully bet on the 1992 sterling crisis, generating over $1 billion in profit for the firm. After he left the Soros Fund, he established his own investment firm, Key Square Group, in 2015.

A major donor, fundraiser, and economic advisor for Donald Trump's 2024 presidential campaign,[2] Bessent was nominated for treasury secretary by Trump in November 2024 and confirmed by the United States Senate on January 27, 2025, by a vote of 68–29.

Bessent is the second openly gay man to serve in the Cabinet of the United States (after Pete Buttigieg) and the fifth openly gay man to serve in a cabinet-level office (after Buttigieg, Demetrios Marantis, Richard Grenell, and Vince Micone).[3] As the United States secretary of the treasury is fifth in the United States presidential line of succession, he is the highest-ranking openly LGBT person in American history.[4]

Scott Bessent

Official portrait, 2025

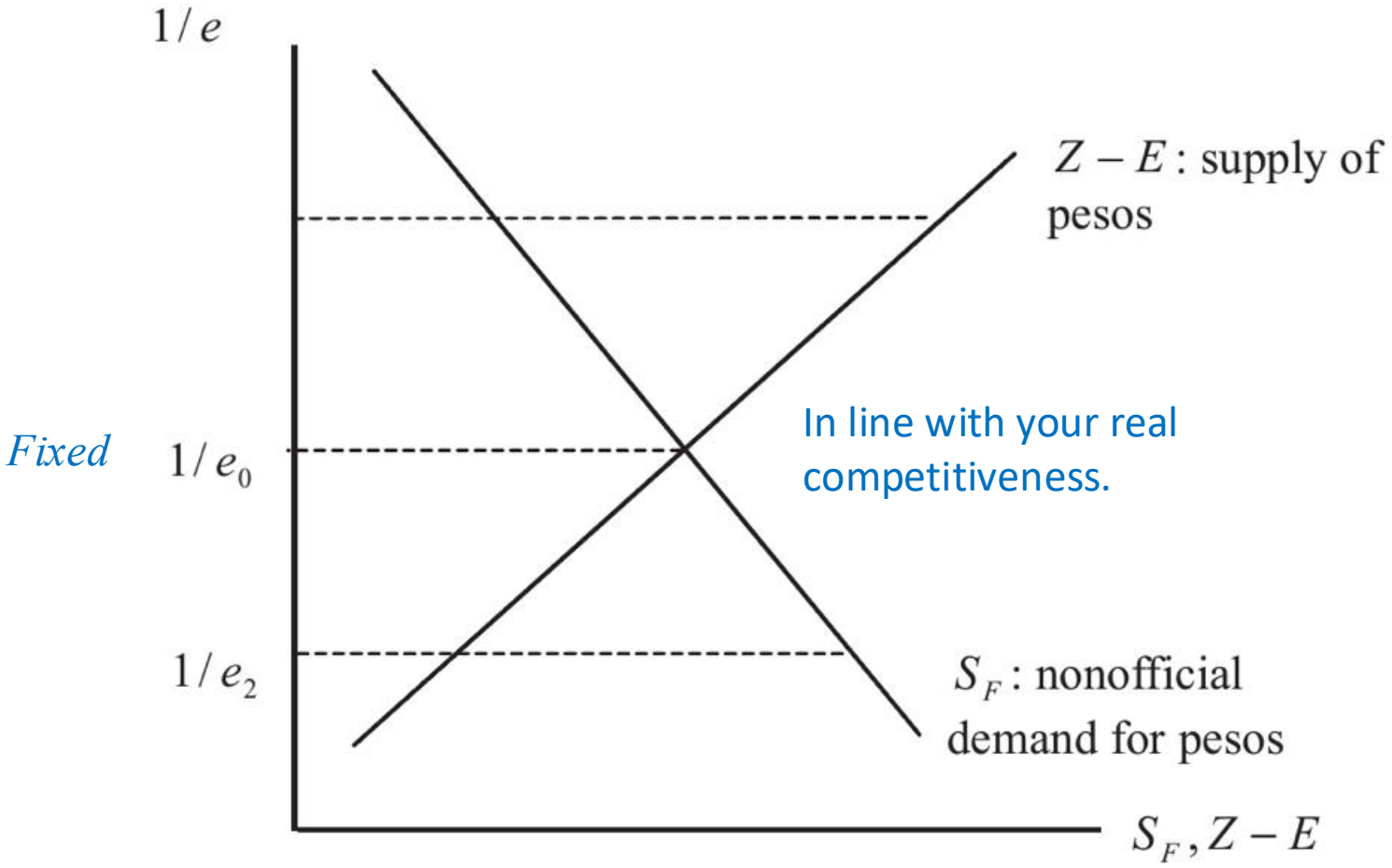
79th United States Secretary of the Treasury

Incumbent

Assumed office
January 28, 2025

President Donald Trump

What was the adjustment mechanism under the Bretton Woods regime? What would a country do if they experienced a current account deficit?


1/e
Z − E : supply of pesos
Fixed
1/e0
In line with your real competitiveness.
1/e2
SF : nonofficial demand for pesos
SF , Z − E

Student Choice Awards

Nominations for the 2026 Student Choice Awards are open!

Nominations of the 2026 Student Choice Awards are now **open!** The Student Choice Awards are a way for students to thank an amazing member of staff, and let them know that their hard work makes a difference. Your feedback about the kind of education that works for you also means that we can work with the university on making more of the good stuff happen.

From **Monday 19th January,** you will be able to nominate an amazing member of staff by **clicking here**. Nominations close at **9:00am on Monday 16th March 2026.** You can find top tips for writing a strong nomination **here**.

In 2025, we received a total of **1120** nominations for **556** individual members of staff.

You can view the 2025 shortlist, roll of honour, and winners below.

Sponsored content

Lecture plan:

- Crises caused by bad national decisions (old fashioned)

  Overvalued exchange rate
  Hyperinflation

- Crises caused by external factors

  Contagion (unfounded panic)

2. Hyperinflation:

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Growing fiscal deficit → Printing money by the CB → Surging inflation

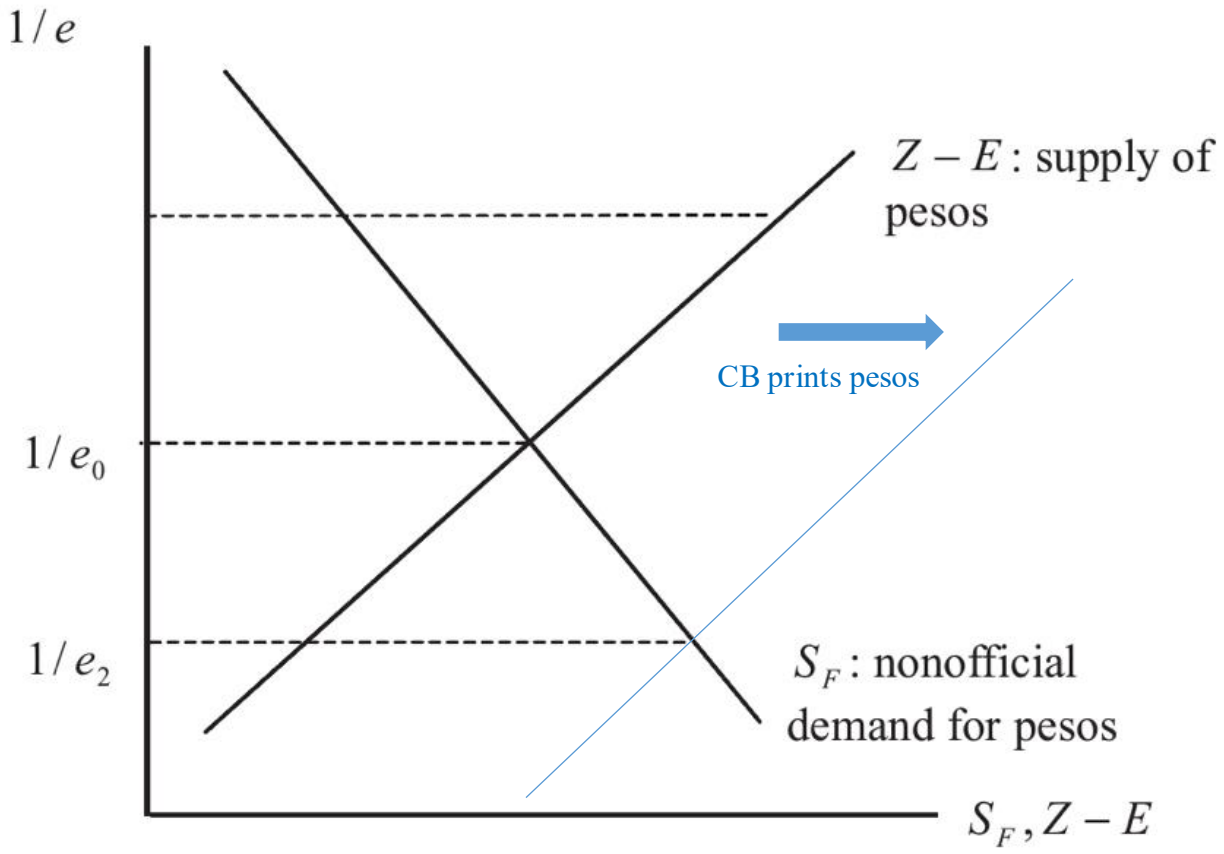

Figure 16.1. The Peso Market

2. Hyperinflation:

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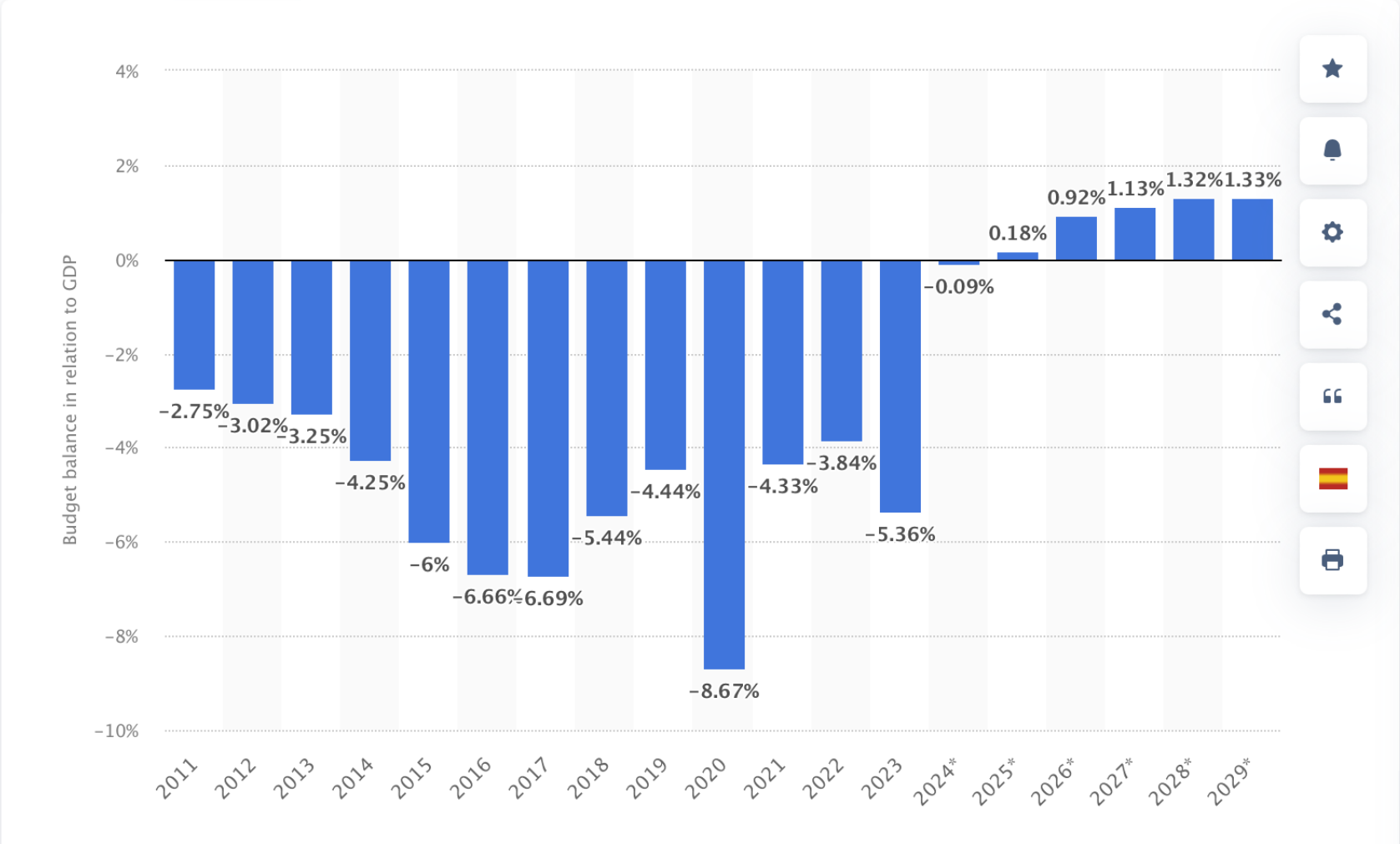
Growing fiscal deficit → Printing money by the CB → Surging inflation —Side effect→ Large depreciation (Or forced devaluation)

Examples: Argentina (now), Venezuela, Zimbabwe (2008), Germany (1920)

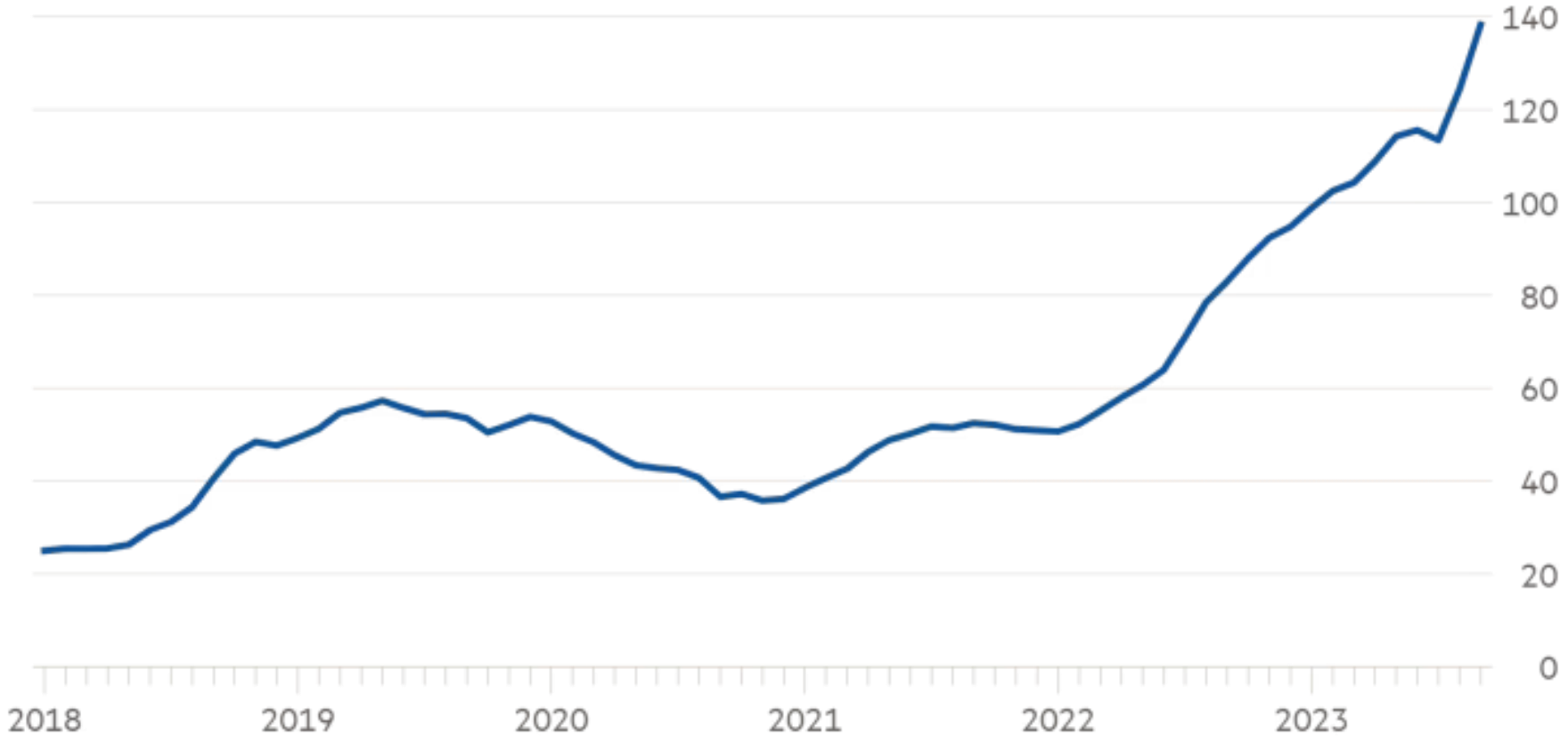
Fiscal balance (as % of GDP) in Argentina



FRED
M1 for Argentina
Percent Change from Year Ago
100
80
60
40
20
0
-20
-40
2000
2002
2004
2006
2008
2010
2012
2014
2016
2018
Source: International Monetary Fund via FRED®
fred.stlouisfed.org

The abrupt rise in prices has revived memories of hyperinflation

Argentina inflation (annual % change in CPI)



Source: LSEG

© FT

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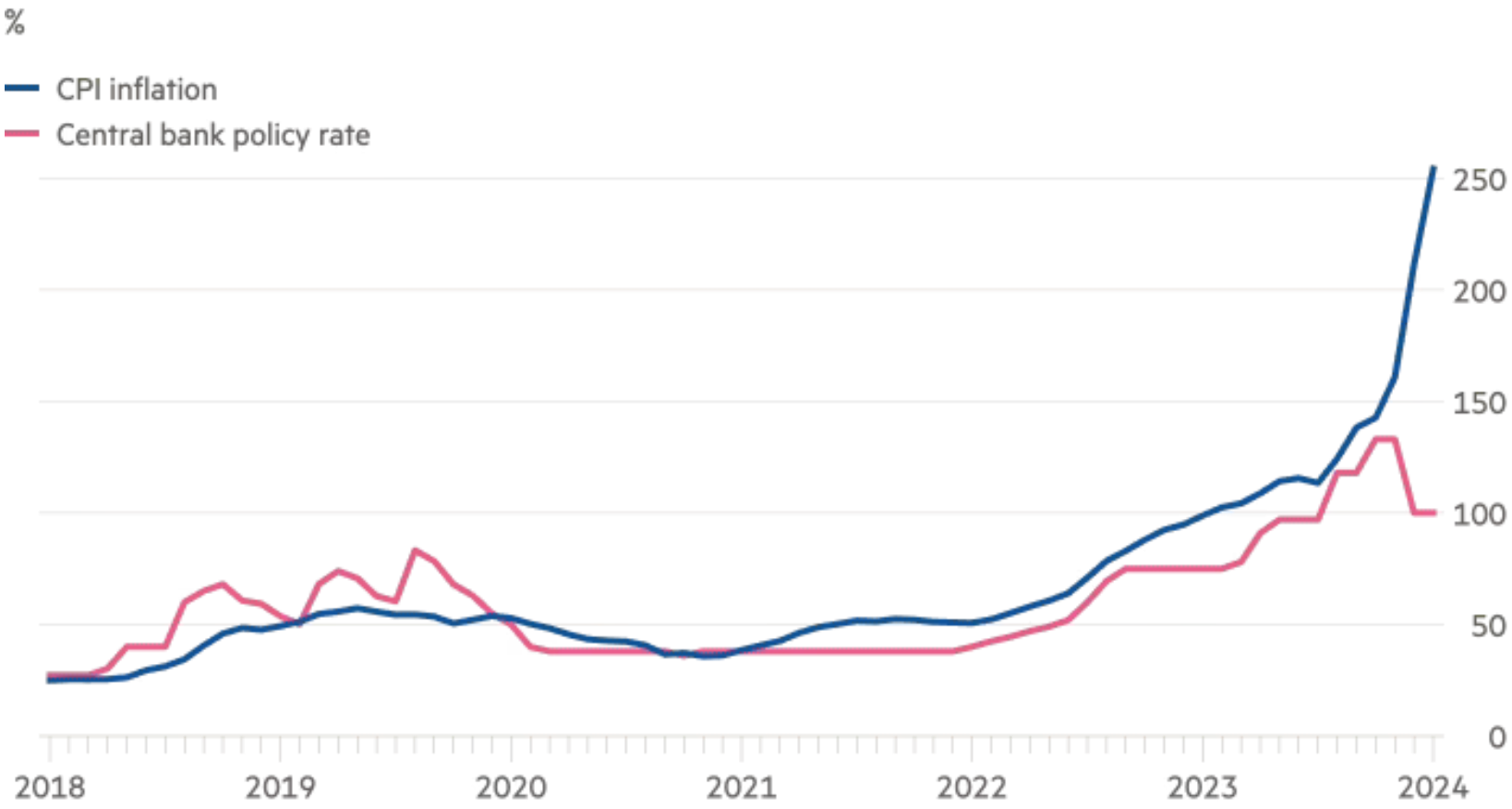
Preemption:?

Inflation in Argentina was above 250% in January while the interest rate was 100%



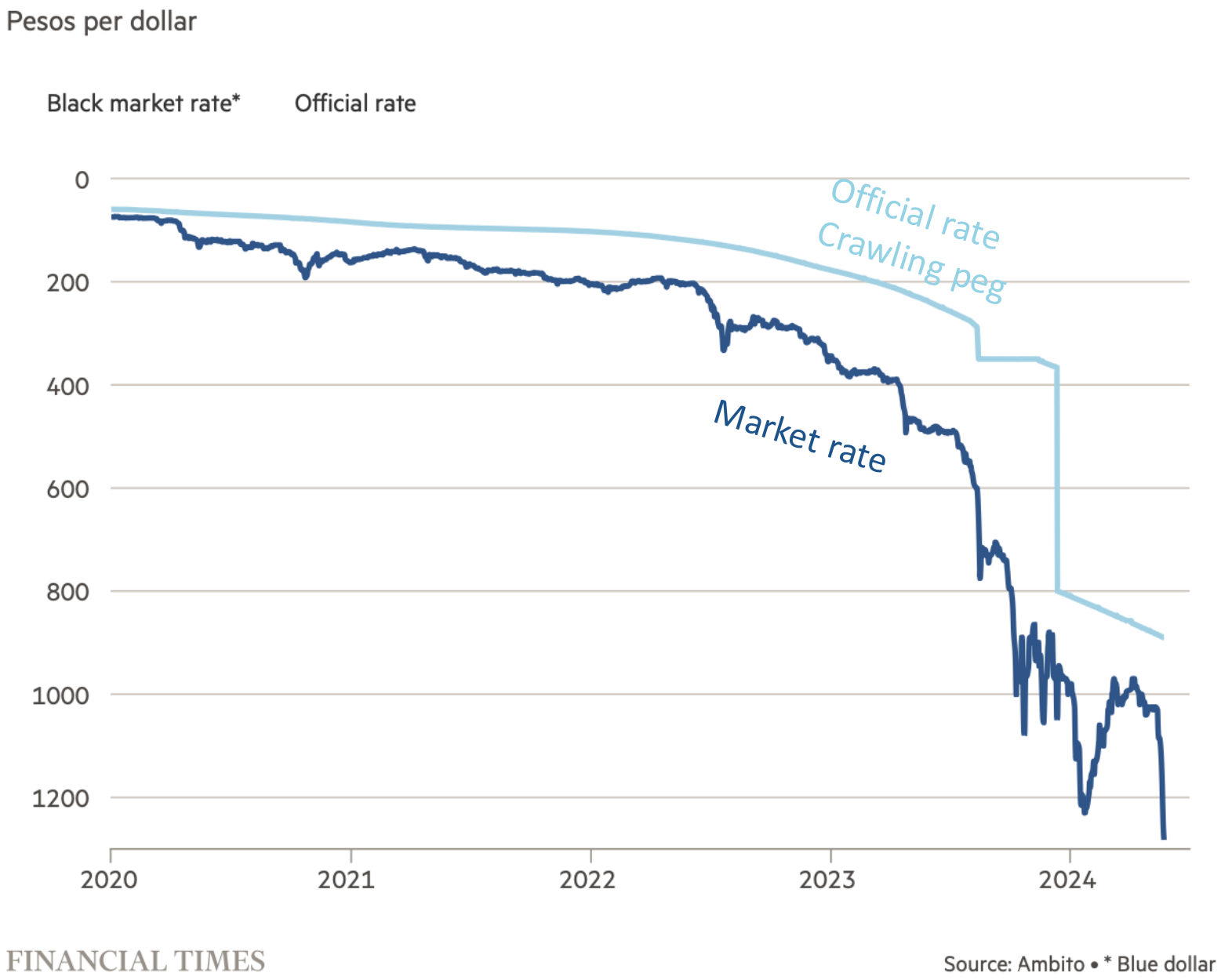
Source: LSEG

© FT

Argentina's inflation falls sharply

Month on month change in consumer prices (%)

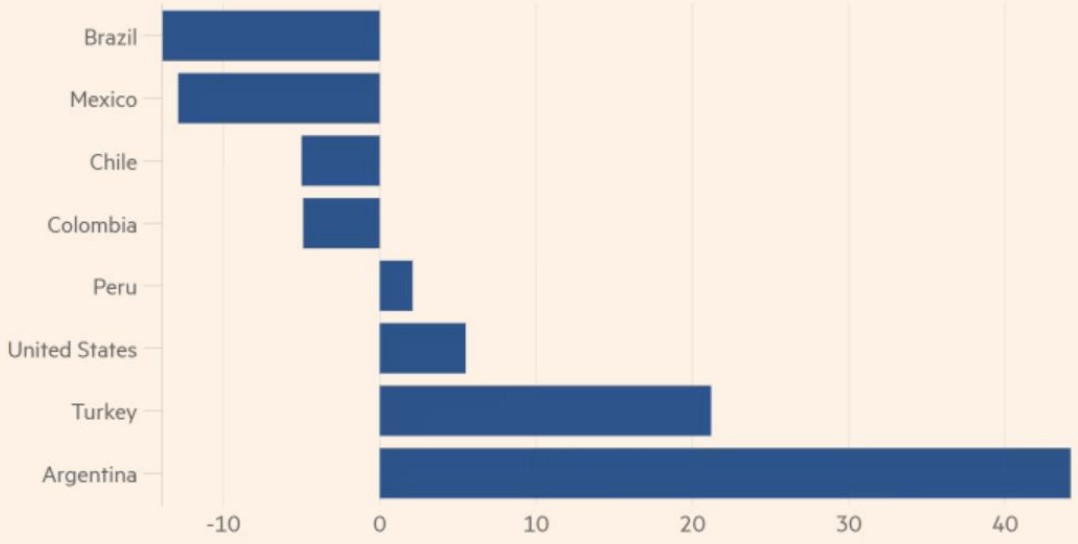
But!


Pesos per dollar
Black market rate*
Official rate
0
200
400
600
800
1000
1200
2020
2021
2022
2023
2024
Official rate
Crawling peg
Market rate
FINANCIAL TIMES
Source: Ambito • * Blue dollar

"Milei's programme is working, but the peso's appreciation is the greatest risk going forward," said Ramiro Blázquez, head of research at investment bank BancTrust. "If the peso continues to appreciate, or if there is a big external shock, demand for cheap dollars could surge, increasing the risk of devaluation."

Milei reforms fuel world-beating gains for Argentine peso

Currency performance, year to date (%)



Source: GMA Capital, Bank for International Settlements

The stronger currency — dubbed the "super peso" in local media — is making itself felt in Argentina as prices in dollars soar. A Big Mac hamburger costs $7.90 compared with $3.80 a year ago, at the official exchange rate. Earlier this month, steelmaker Ternium warned that labour costs in Argentina had become "60 per cent more expensive" than in Brazil.

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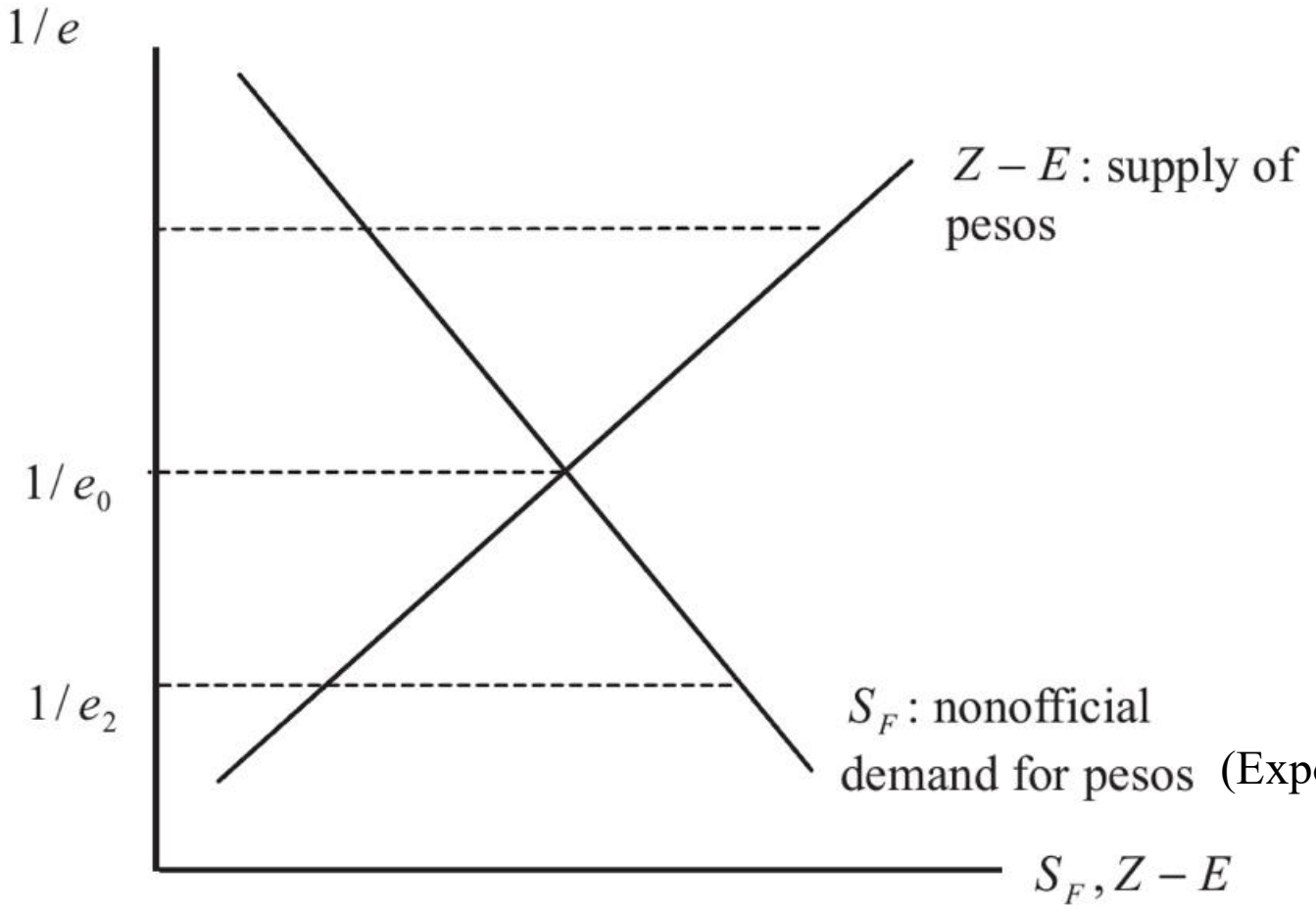
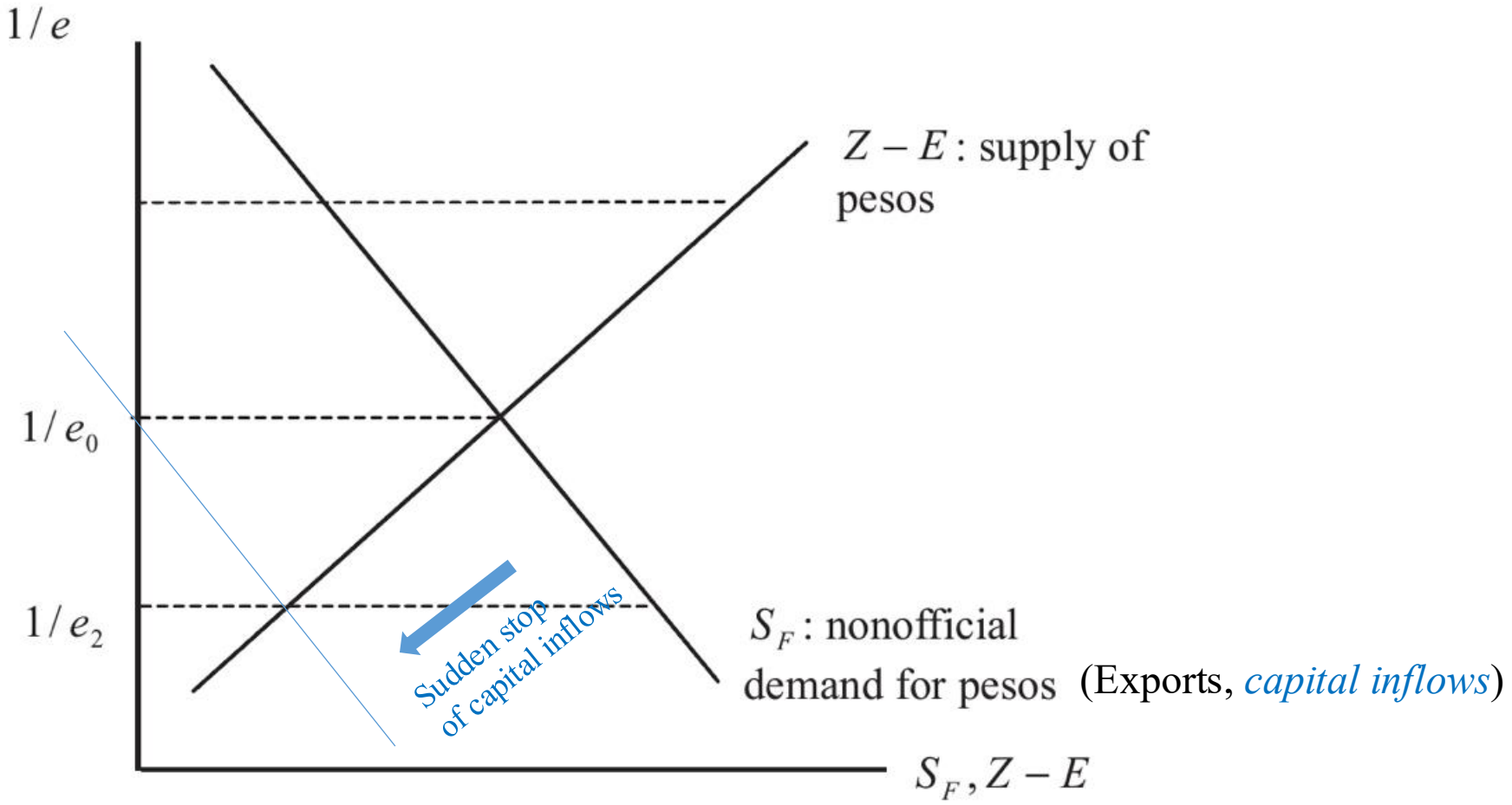
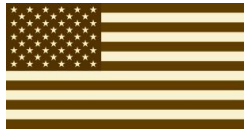
- Crises caused by external factors

  Contagion (sudden stop)



(Exports, *capital inflows*)


1/e
Z – E : supply of pesos
1/e0
1/e2
Sudden stop of capital inflows
SF : nonofficial demand for pesos (Exports, capital inflows)
SF , Z – E



CB

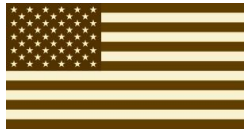
Investor

Loans

5%

$1= 12 Won

ice INTERNATIONAL CURRENCY EXCHANGE



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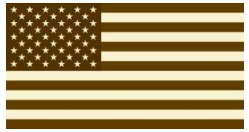
ice INTERNATIONAL CURRENCY EXCHANGE

SAMSUNG



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Loans

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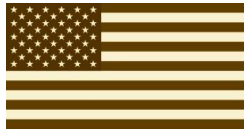


CB

Investor

5%

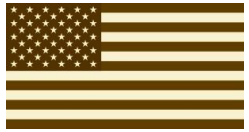
Withdrawal of deposit

Loans

$1= 12 Won

ice INTERNATIONAL CURRENCY EXCHANGE

SAMSUNG



CB

Investor

Withdrawal of deposit

5%

Loans

SAMSUNG

$1= ***18 Won***

ice INTERNATIONAL CURRENCY EXCHANGE

Contagion (sudden stop):

Crisis in a neighboring country → Loss of confidence in financial sector → Capital Outflow → Large depreciation (Or forced devaluation)

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Crisis in a neighboring country → Loss of confidence in financial sector → Capital Outflow → Large depreciation (Or forced devaluation)

Example: Spread of financial crisis from Thailand in 1997 to the rest of East Asia.

Asia's 1997 financial crisis: How did it happen?

Twenty years ago, several major South East Asian economies were brought to their knees. A currency crisis swept through the region, and the International Monetary Fund had to provide emergency loans.

30 Jun 2017 | Business

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55%

asian contagion 1997

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sotonsom

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Preemption:?

Summary

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2. Preemption: avoid overvalued exchange rate, fiscal & monetary discipline.

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3. Crisis caused by external factors: sudden reversal in capital flows.

Summary

1. Crisis caused by bad national policy decisions: overvalued exchange rate, hyperinflation.

2. Preemption: avoid overvalued exchange rate, fiscal & monetary discipline.

3. Crisis caused by external factors: sudden reversal in capital flows.

4. Preemption: Avoid running persistent current account deficit & restrictions on capital inflows. Hence, the need to have national flexibility to manage your financial integration (flexible globalisation).